

, LLC

SUMMARY OF TERMS FOR CONVERTIBLE PROMISSORY NOTE

The following is a summary of the basic terms and conditions of a proposed convertible promissory note financing of a Virginia LLC (the “*Company*”). This term sheet is for discussion purposes only and is not binding on Company or the Investors (as defined below), nor is Company or any of the Investors obligated to consummate the convertible promissory note financing until a definitive convertible note purchase agreement has been agreed to and executed by Company and the Investors.

Financing Amount: \$40,000 principal amount of a convertible promissory note (the “*Note*”) to be offered for issuance to the Company.

Closings: The Company may close the sale of the Note in one or more closings with one or more purchasers of the Note acceptable to the Company (the “*Investors*”).

Definitive Agreement: The Note will be issued and sold pursuant to a convertible note prepared by the Company’s legal counsel.

Maturity Date: Principal and unpaid accrued interest on the Note will be due and payable 24 months from the date of the convertible note (the “*Maturity Date*”).

Interest: Simple interest will accrue on an annual basis at the rate of 5% per annum based on a 365-day year.

Conversion to Equity: Automatic Conversion in a Qualified Financing. If the Company issues equity securities (“*Equity Securities*”) in an arms-length transaction or series of related transactions resulting in aggregate gross proceeds to the Company of at least \$250,000 excluding conversion of the Note and any other indebtedness (a “*Qualified Financing*”), then the Note, and any accrued but unpaid interest thereon, will automatically convert into the equity securities issued pursuant to the Qualified Financing at a conversion price equal to the lesser of (i) 70% of the per share price paid by the purchasers of such equity securities in the Qualified Financing or (ii) the price equal to the quotient of \$2,000,000 divided by the aggregate number of outstanding shares of the Company’s Common Stock as of immediately prior to the initial closing of the Qualified Financing (assuming full conversion or exercise of all convertible and exercisable

securities then outstanding and securities reserved for issuance or conversion other than the Note). At the option of the Investors, the Investors will receive all of the benefits afforded to the other investors in the Qualified Financing.

Voluntary Conversion at the Maturity Date. If the Note has not been previously converted pursuant to a Qualified Financing, then, effective upon the Maturity Date, the Investors may elect to convert the Note into shares of the Company's Common Stock at a conversion price equal to the quotient of \$1,500,000 divided by the aggregate number of outstanding shares of the Company's Common Stock as of the Maturity Date (assuming full conversion or exercise of all convertible and exercisable securities then outstanding and securities reserved for issuance and conversion other than the Note). Any election to convert the Note pursuant to this paragraph will be made in writing and delivered to the Company at least five days prior to the Maturity Date.

Sale of the Company:

If a Qualified Financing has not occurred and the Company elects to consummate a sale of the Company prior to the Maturity Date, then notwithstanding any provision of the Note to the contrary (i) the Company will give the Investors at least five days prior written notice of the anticipated closing date of such sale of the Company and (ii) the Company will pay the Investors an aggregate amount equal to the greater of (a) the aggregate amount of principal and interest then outstanding under such Note or (b) the amount the would be receivable to the Investors if they elected a voluntary conversion of the Note pursuant to the voluntary conversion terms above.

Pre-Payment:

The principal and accrued interest may not be prepaid unless approved in writing by the Investors.

Amendment and Waiver:

The Note may be amended, or any term thereof waived, upon the written consent of the Company and the Investors.

No Security Interest:

The Note will be a general unsecured obligation of the Company.